

# Sales doubled. Profit kept pace. Discount did not.

25,035 orders across 147 countries. Sales grew +90% and profit grew +103%. The loss sits in tables, in discounts past 20%, and in a handful of states.

SALES

\$12.64M

PROFIT

\$1.47M

MARGIN

11.6%

ORDERS

25,035

Start with the headline

## HOW ARE WE DOING?

\$12.64M of sales, \$1.47M of profit, an 11.6% margin.

24% of order lines lose money, and those lines are 19.7% of sales. The average line is discounted 14.3%. Weighted by sales, the discount is 10.6% — larger tickets are cut less than the line average.

SALES

\$12.64M

51,290 order lines

PROFIT

\$1.47M

Sum of line profit

MARGIN

11.6%

Profit ÷ sales

ORDERS

25,035

795 customers

AVG DISCOUNT

14.3%

10.6% weighted by sales

Furniture

6.9% margin

\$4.11M sales · \$285k profit

Office Supplies

13.7% margin

\$3.79M sales · \$518k profit

Technology

14.0% margin

\$4.74M sales · \$664k profit

Technology (14.0%) and Office Supplies (13.7%) carry the margin. Furniture (6.9%) is the drag. Returns are not backed out of these totals: 1,172 flagged orders, \$818k of sales, stay inside the book.

# Sales grew +90%. Profit grew +103%, then the margin stalled.

From 2016 to 2019, sales went from \$2.26M to \$4.30M and profit from \$249k to \$504k. Margin peaked at 11.9% in 2018 and eased to 11.7% while sales kept climbing. Nov 2019 is the peak month, at \$555k.

2016

**\$2.26M**

\$249k profit

11.0% margin · base year

2017

**\$2.68M**

\$307k profit

11.5% margin · +18.5% sales

2018

**\$3.41M**

\$407k profit

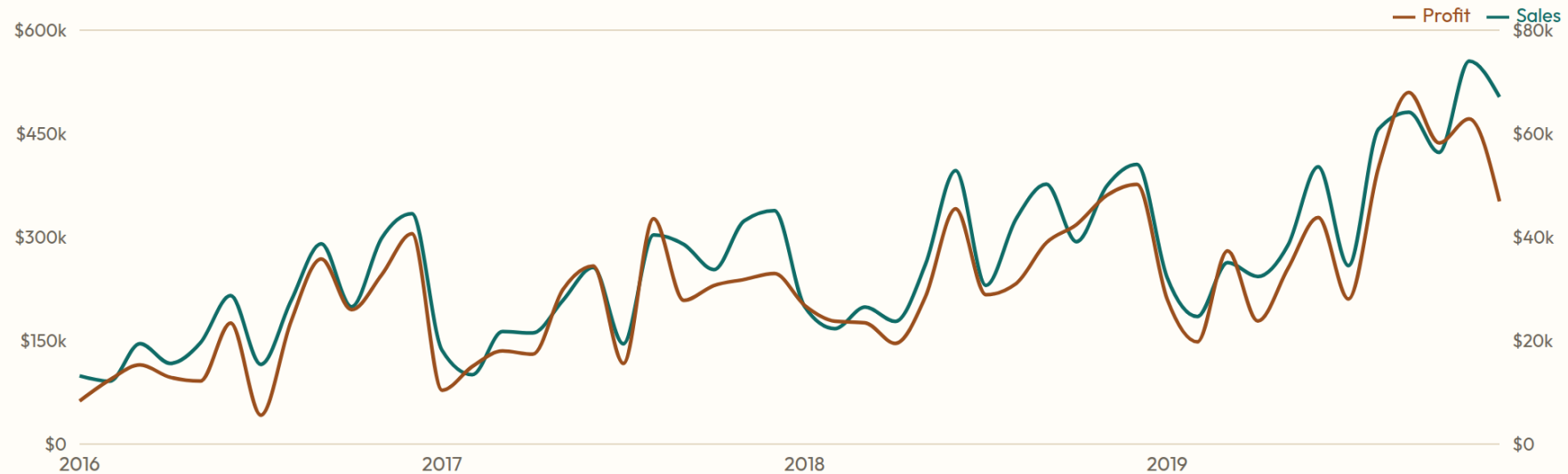
11.9% margin · +27.2% sales

2019

**\$4.30M**

\$504k profit

11.7% margin · +26.3% sales

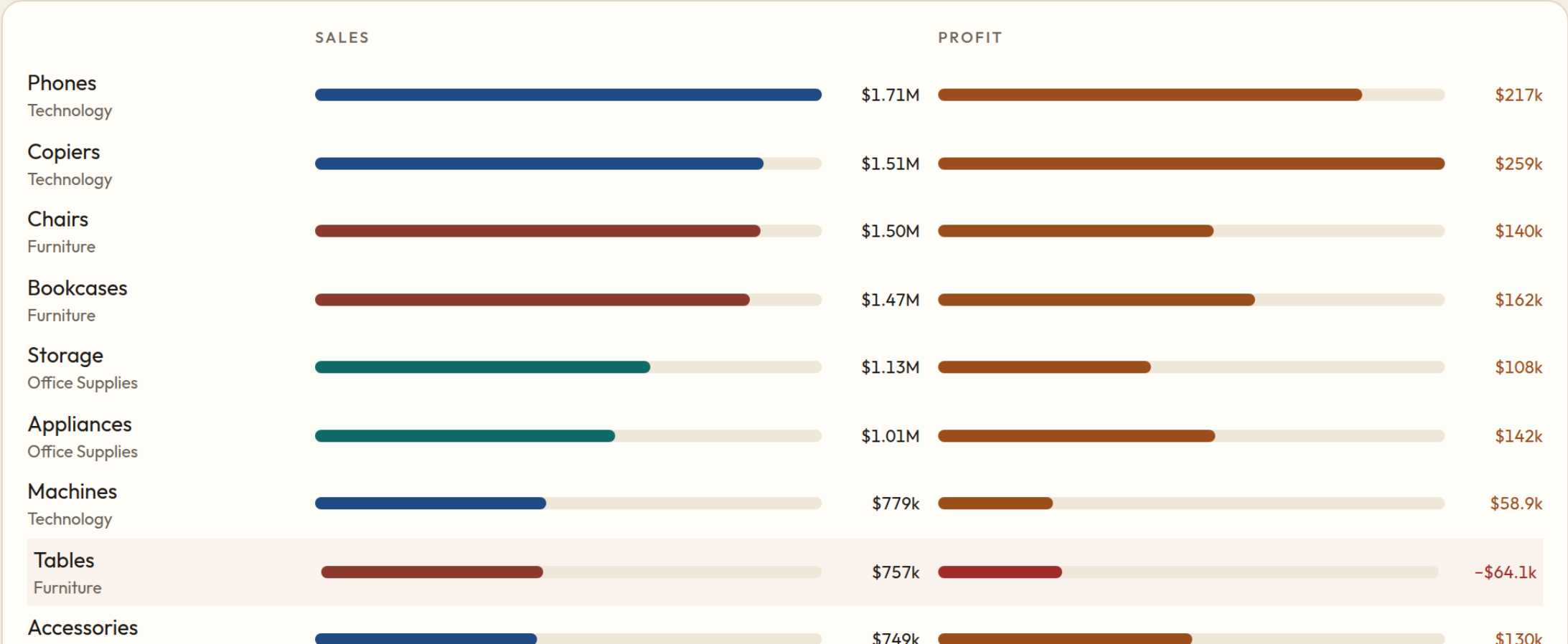


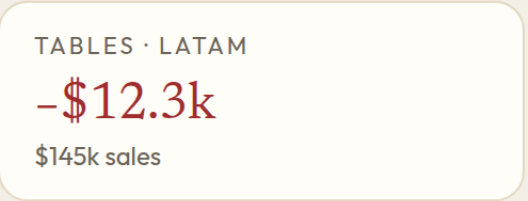
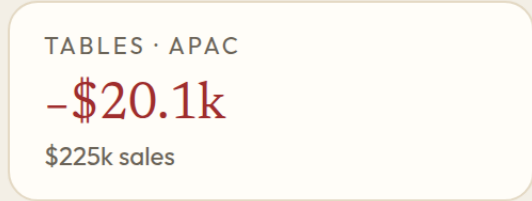
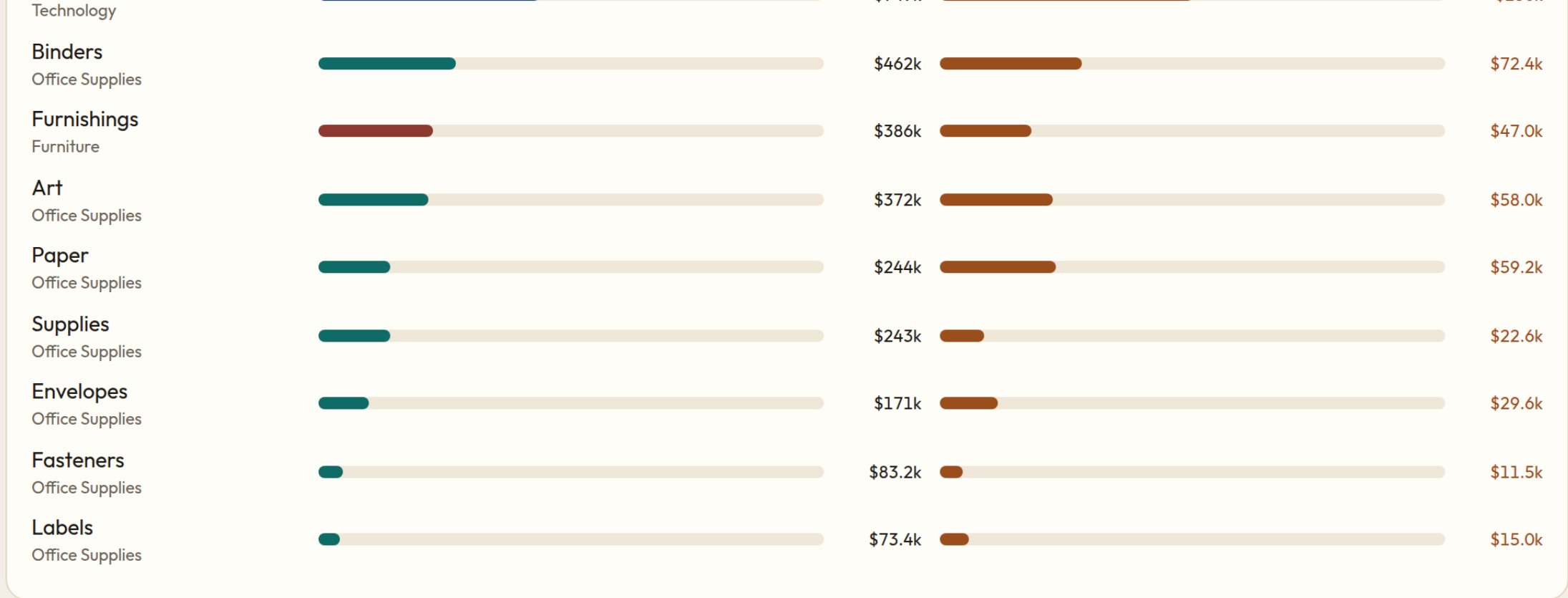
Sales on the left axis, profit on the right. The second half of each year is the heavy season.

WHERE IS MONEY MADE OR LOST?

# Phones, copiers, and chairs make the money. Tables lose it in every market.

Tables are the only sub-category with a negative total:  $-\$64.1\text{k}$  on  $\$757\text{k}$  of sales, a  $-8.5\%$  margin. Bookcases and machines are profitable globally. In the United States they are not a comfort: bookcases lose  $\$3.5\text{k}$  and machines keep  $\$3.4\text{k}$  on  $\$189\text{k}$ .





# Region is not four US territories. State is where the loss concentrates.

This file has 13 regions. East and West are United States only. Central is led by France and Germany, and South mixes the US with Brazil, Italy, and Spain. Southeast Asia runs the thinnest margin (2.0%). Canada runs the thickest (26.6%) on a small base. Texas sells \$170k and loses \$25.7k.



Canada

\$88.9k \$17.8k

San Salvador

El Salvador



\$154k



\$35.9k

Victoria

Australia



\$152k



\$14.9k

### United States, top states

California and New York fund the US book. Texas, Pennsylvania, Florida, Illinois, Ohio lose money.

|              | SALES |         | PROFIT |          |
|--------------|-------|---------|--------|----------|
| California   |       | \$458k  |        | \$76.4k  |
| New York     |       | \$311k  |        | \$74.0k  |
| Texas        |       | \$170k  |        | -\$25.7k |
| Washington   |       | \$139k  |        | \$33.4k  |
| Pennsylvania |       | \$117k  |        | -\$15.6k |
| Florida      |       | \$89.5k |        | -\$3.4k  |
| Illinois     |       | \$80.2k |        | -\$12.6k |
| Ohio         |       | \$78.3k |        | -\$17.0k |

# Consumers are half the book. The category mix barely changes.

Segment tells you how big the customer is, not what they buy. Technology is a bit over a third of sales in every segment, furniture about a third, office supplies the rest. Margin sits in a tight band.

Consumer

51%

\$6.51M sales · 11.5% margin · 13,104 orders

Corporate

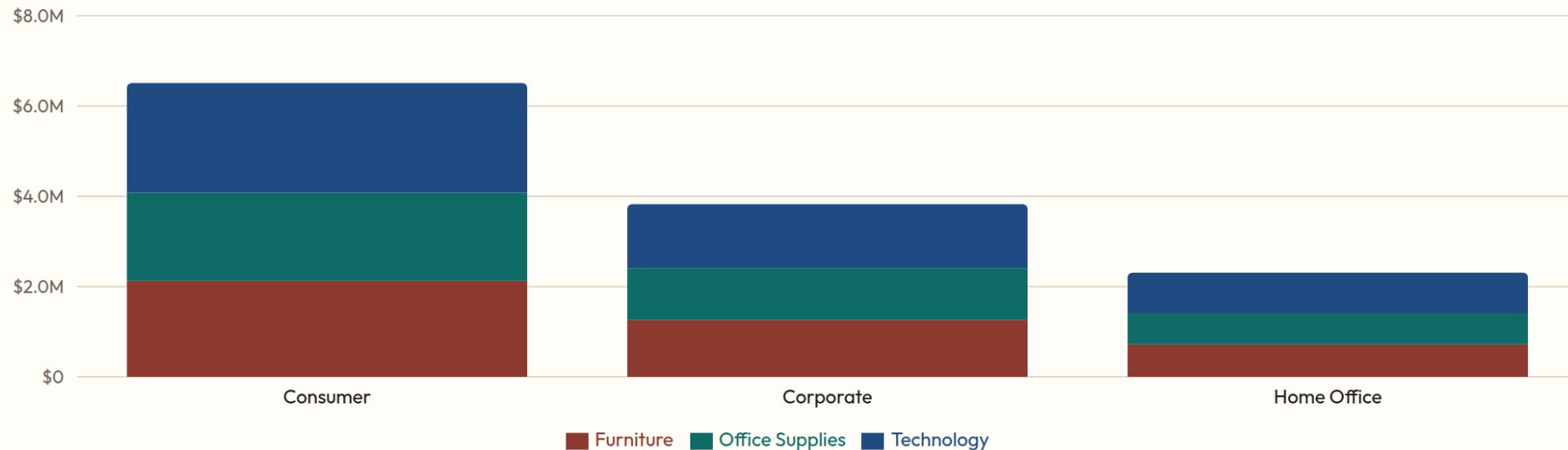
30%

\$3.82M sales · 11.5% margin · 7,673 orders

Home Office

18%

\$2.31M sales · 12.0% margin · 4,687 orders



Stacked sales by category. The stacks are different heights and almost the same recipe.



WHICH PRODUCTS AND CUSTOMERS?

# The top 10 are a reading list, not the business.

There are 3,788 products and 795 customers. The top 10 products are 4.9% of sales. The top 10 customers are 2.7%. Canon imageCLASS 2200 Advanced Copier is the profit outlier in the sales ranking (\$25.2k on \$61.6k). Samsung Smart Phone, Cordless makes the sales list and loses \$198.

## Top 10 products by sales

|                                                                       | SALES                  | PROFIT                                 |
|-----------------------------------------------------------------------|------------------------|----------------------------------------|
| Apple Smart Phone, Full Size<br>Technology                            | <div><div></div></div> | \$86.9k <div><div></div></div> \$5.9k  |
| Cisco Smart Phone, Full Size<br>Technology                            | <div><div></div></div> | \$76.4k <div><div></div></div> \$17.2k |
| Motorola Smart Phone, Full Size<br>Technology                         | <div><div></div></div> | \$73.2k <div><div></div></div> \$17.0k |
| Nokia Smart Phone, Full Size<br>Technology                            | <div><div></div></div> | \$71.9k <div><div></div></div> \$9.9k  |
| Canon imageCLASS 2200 Advanced Copier<br>Technology                   | <div><div></div></div> | \$61.6k <div><div></div></div> \$25.2k |
| Hon Executive Leather Armchair, Adjustable<br>Furniture               | <div><div></div></div> | \$58.2k <div><div></div></div> \$6.0k  |
| Office Star Executive Leather Armchair, Adjustable<br>Furniture       | <div><div></div></div> | \$50.7k <div><div></div></div> \$4.7k  |
| Harbour Creations Executive Leather Armchair, Adjustable<br>Furniture | <div><div></div></div> | \$50.3k <div><div></div></div> \$10.6k |

## Top 10 customers by sales

|                                            | SALES                  | PROFIT                                |
|--------------------------------------------|------------------------|---------------------------------------|
| Tom Ashbrook<br>Home Office · 30 orders    | <div><div></div></div> | \$40.5k <div><div></div></div> \$6.3k |
| Tamara Chand<br>Corporate · 36 orders      | <div><div></div></div> | \$37.5k <div><div></div></div> \$8.7k |
| Greg Tran<br>Consumer · 34 orders          | <div><div></div></div> | \$35.6k <div><div></div></div> \$5.2k |
| Christopher Conant<br>Consumer · 39 orders | <div><div></div></div> | \$35.2k <div><div></div></div> \$5.6k |
| Sean Miller<br>Home Office · 28 orders     | <div><div></div></div> | \$35.2k <div><div></div></div> -\$410 |
| Bart Watters<br>Corporate · 45 orders      | <div><div></div></div> | \$32.3k <div><div></div></div> \$3.6k |
| Natalie Fritzler<br>Consumer · 43 orders   | <div><div></div></div> | \$31.8k <div><div></div></div> \$1.5k |
| Fred Hopkins<br>Corporate · 39 orders      | <div><div></div></div> | \$30.4k <div><div></div></div> \$4.6k |
| Jane Waco<br>Corporate · 40 orders         | <div><div></div></div> | \$30.3k <div><div></div></div> \$6.3k |

|                                   |                        |         |                        |         |
|-----------------------------------|------------------------|---------|------------------------|---------|
| Armchair, Adjustable              | <div><div></div></div> | \$50.1k | <div><div></div></div> | \$10.4k |
| Furniture                         |                        |         |                        |         |
| Samsung Smart Phone, Cordless     | <div><div></div></div> | \$48.7k | <div><div></div></div> | -\$198  |
| Technology                        |                        |         |                        |         |
| Nokia Smart Phone, with Caller ID | <div><div></div></div> | \$47.9k | <div><div></div></div> | \$9.5k  |
| Technology                        |                        |         |                        |         |

Hunter Lopez

Consumer · 24 orders

\$30.2k

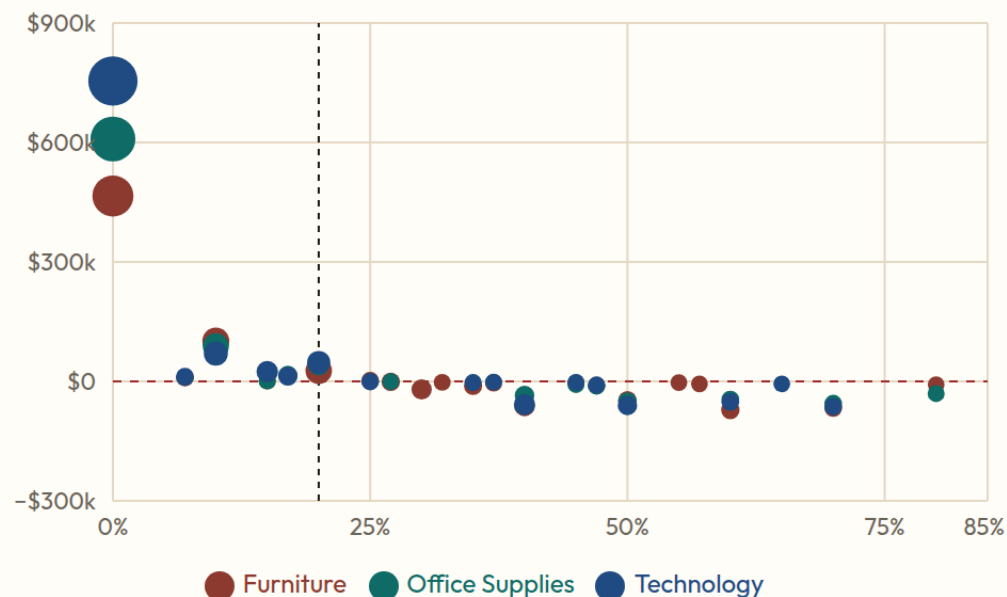
\$7.8k

Sean Miller (Home Office) is the top-10 buyer who loses money: -\$410 on \$35.2k of sales.

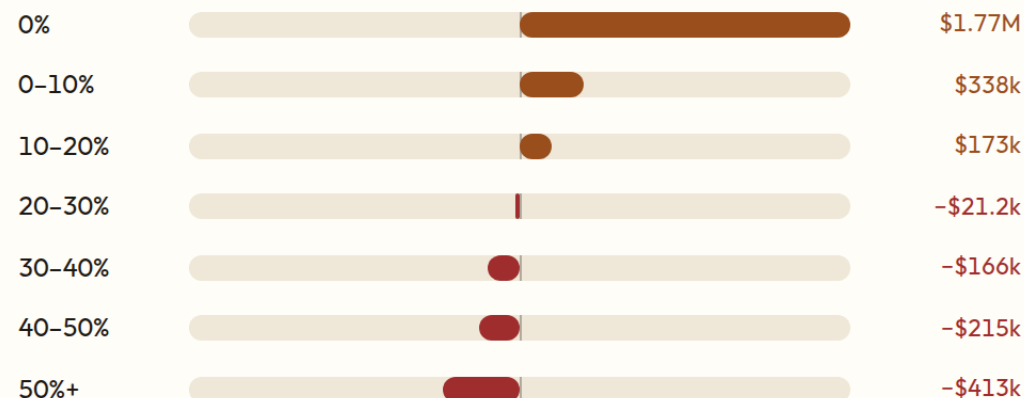
## IS DISCOUNT HELPING?

# Through 20% off, every band makes money. After that, every band loses it.

The 50%+ band sells \$372k and loses \$413k — the loss is larger than the sales. Point size on the scatter is sales. The dashed vertical line is 20% off.



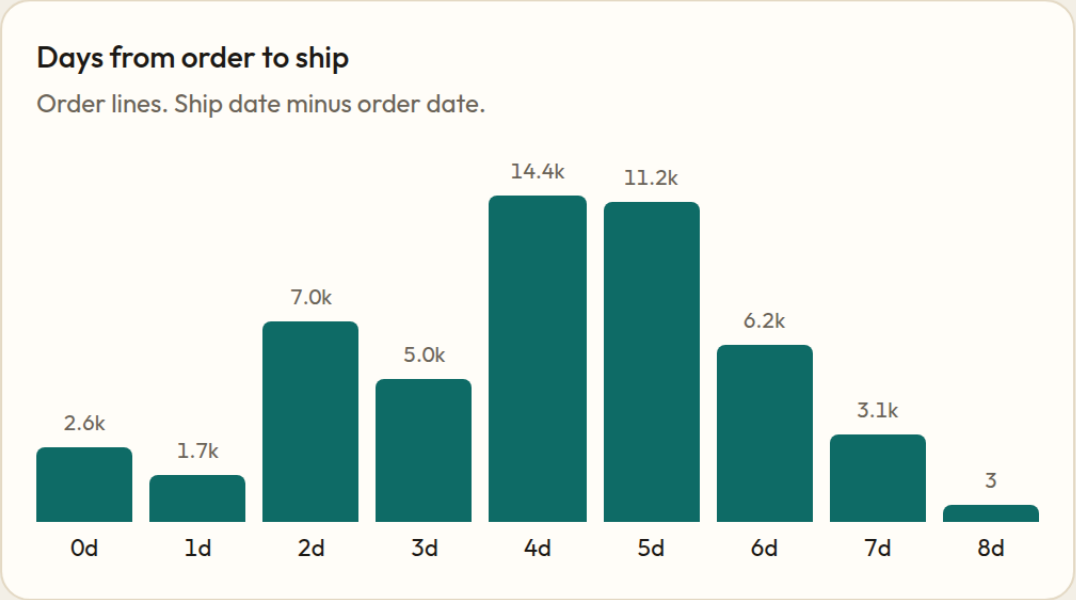
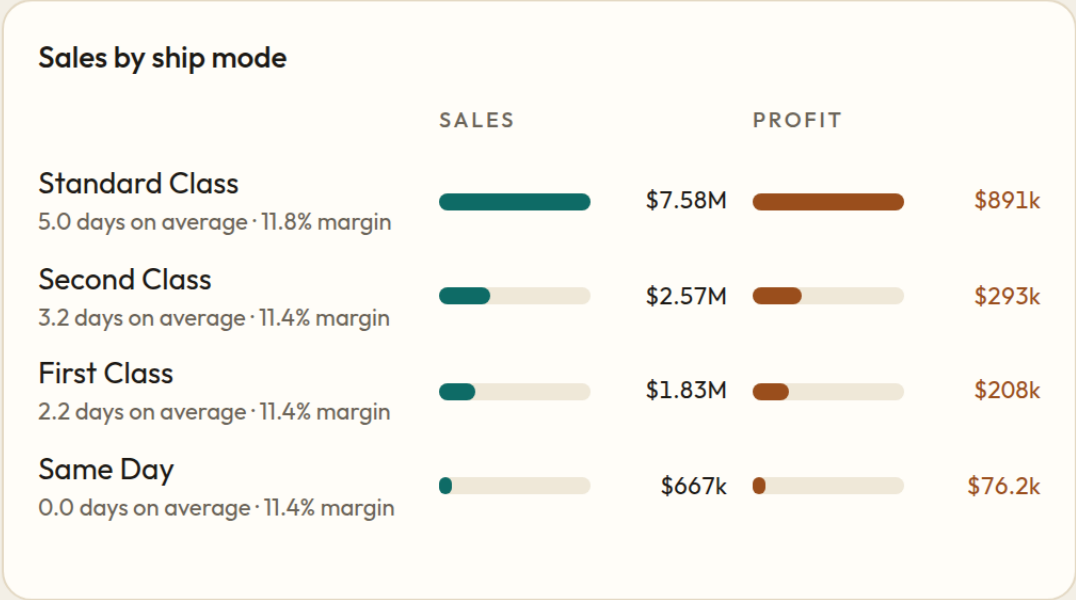
### Profit by discount band



Zero discount alone produces \$1.77M of profit on \$6.99M of sales. The red bars are not a furniture problem. The same bend shows up in every category.

# Standard Class is 60% of lines and about 5 days to the door.

Margin stays between 11.4% and 11.8% in every ship mode. Speed is not where profit leaks. A few orders use more than one mode across lines, so the counts below are lines and sales, which add up.

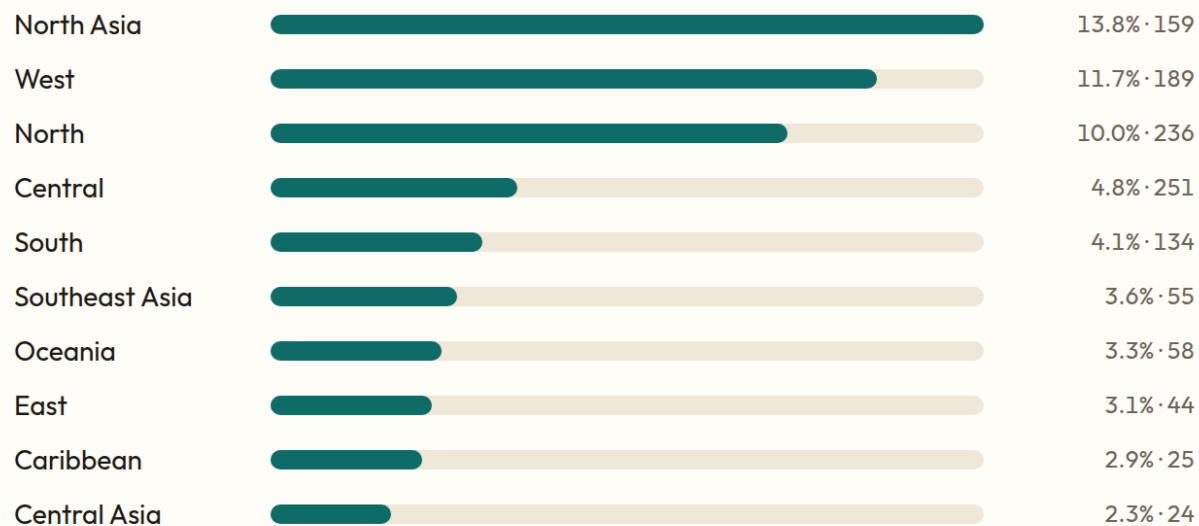


# 4.7% of orders are flagged returned. That flag is not a sales reversal.

1,172 orders and \$818k of sales match the Returns sheet, joined on order and market. Those sales and their \$118k of profit stay inside the headline totals. Category rates are close. Place is not.

## Return rate by region

Returned orders ÷ orders.



|        |                   |
|--------|-------------------|
| Africa | No return records |
| Canada | No return records |
| EMEA   | No return records |

## Furniture

5.9%

484 of 8,195 orders · \$264k sales

## Technology

5.8%

484 of 8,354 orders · \$307k sales

## Office Supplies

4.9%

939 of 19,003 orders · \$247k sales

Africa, Canada, and the EMEA region have no matching return rows. Read that as unreported, not as a perfect operation.

## WHAT TO DO WITH THIS

# The growth is real. The leak is specific.

Do not 'fix' a book that nearly doubled. Change the three places where sales and profit part ways.

01

## Cap the discount at 20%.

Every band through 20% off is profitable. From 20–30% upward, every band loses money, in every category. The 50%+ band sells \$372k and loses \$413k.

02

## Reprice tables, or stop discounting them.

Tables lose \$64.1k on \$757k of sales, and they lose money in APAC, EMEA, LATAM, and US/Canada. Bookcases join them in the United States.

03

## Treat Texas as a loss, not a growth state.

Texas sells \$170k and loses \$25.7k. Pennsylvania, Ohio, and Illinois do the same at a smaller scale. California and New York are the US profit centers.